

HF Group Plc

Summary Consolidated Statement of Financial Position

	UnAudited 30.06.2017	Audited 31.12.2016	UnAudited 30.06.2016
	Shs '000	Shs '000	Shs '000
ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)
Cash and balances with Central Bank of Kenya	3,112,410	3,372,363	3,220,695
Balances with Banks	3,613,678	1,659,112	2,555,468
Investments in Government Securities	3,434,773	4,085,550	3,714,869
Loans and advances	52,768,234	54,469,605	53,465,918
Other assets	5,169,024	4,784,901	5,057,041
Property and equipment	1,372,061	1,458,087	1,385,941
Prepaid operating lease	44,249	44,751	44,968
Other Intangible assets	1,179,542	1,212,626	1,143,155
Current tax recoverable	186,853	86,911	148,199
Deferred income tax asset	742,028	756,234	566,175
TOTAL ASSETS	71,622,852	71,930,140	71,302,429
LIABILITIES			
Deposits and current accounts	37,439,549	38,707,026	40,315,375
Other liabilities	1,259,778	2,197,233	1,701,327
Borrowings	21,619,292	19,736,615	18,299,458
Current Income tax payable	3	4	1,279
Deferred tax liability	43	-	43
TOTAL LIABILITIES	60,318,665	60,640,878	60,317,482
EQUITY			
Ordinary share capital	1,747,333	1,746,908	1,744,483
Ordinary share premium	4,342,562	4,342,137	4,339,712
Revenue and other reserves	5,163,541	4,974,776	4,850,003
Proposed Dividend	-	174,691	-
Capital grants	50,750	50,750	50,750
TOTAL EQUITY	11,304,186	11,289,262	10,984,948
TOTAL LIABILITIES AND EQUITY	71,622,852	71,930,140	71,302,429

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Summary Consolidated Statement of Profit or Loss

	UnAudited	Audited	UnAudited
	30.06.2017	31.12.2016	30.06.2016
	Shs '000	Shs '000	Shs '000
Net interest income	1,559,214	3,934,115	2,085,914
Non-interest revenue	424,482	755,549	416,939
Total income	1,983,696	4,689,664	2,502,853
Credit impairment charges	(380,866)	(699,166)	(304,998)
Income after impairment charges	1,602,830	3,990,498	2,197,855
Total operating expenses	1,371,679	2,642,618	1,308,165
Profit before taxation	231,151	1,347,880	889,690
Exceptional items	-	17,773	-
Profit after exceptional item	231,151	1,365,653	889,690
Income tax expense	(72,139)	(459,824)	(277,137)
Profit for the period	159,012	905,829	612,553

Summary Consolidated Statement of Other Comprehensive Income

	UnAudited	Audited	UnAudited
	30.06.2017	31.12.2016	30.06.2016
	Shs '000	Shs '000	Shs '000
Profit for the period	159,012	905,829	612,553
Other Comprehensive Income			
Foreign currency translation differences for foreign operations	-	-	-
fair value changes on available for sale financial assets	32,462	(24,167)	(13,962)
Deferred income tax on fair valuation of available for sale financial assets	(9,739)	6,955	4,189
Other Comprehensive Income net of tax	22,723	(17,212)	(9,773)
Total comprehensive income	181,736	888,617	602,779
Total profit attributable to:			
Equity holders of the parent	159,012	905,829	612,553
Total comprehensive income attributable to:			
Equity holders of the parent	181,736	888,617	602,779

Earnings per share basic and diluted (in Shs):	0.91	2.59	3.51
Dividend per share (in Shs):	-	0.50	-

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Summary Consolidated Statement of Changes in Equity

	Share capital	Share premium	Revenue and other reserves	Dividend reserve	Total equity
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
At 1 January 2017	1,746,908	4,342,137	4,974,776	174,691	11,238,512
Profit for the period	-	-	159,012	-	159,012
Other comprehensive income	-	-	29,796	-	29,796
2016 final dividend paid	-	-	(43)	(174,691)	(174,734)
Esop issue	425	425	-	-	850
Share based payment reserve	-	-	-	-	-
At 30 June 2017	1,747,333	4,342,562	5,163,541	-	11,253,436

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Summary Consolidated Statement of Cashflow

	UnAudited	Audited	UnAudited
	30.06.2017 Shs '000	31.12.2016 Shs '000	30.06.2016 Shs '000
Net cash used in operating activities	1,904,431	(3,696,734)	(3,261,543)
Cash flows from investing activities	(45,691)	(1,013,829)	(702,703)
Cash flows from financing activities	(164,126)	(225,191)	(226,816)
Net increase/(decrease) in cash and cash equivalents	1,694,613	(4,935,754)	(4,191,062)
Cash and cash equivalents at 1 January	5,031,475	9,967,226	9,967,226
Cash and cash equivalents at period end	6,726,089	5,031,475	5,776,164

Commentary

HF Group posted half year after tax profit of KShs. 159 million for the period ending June 30, 2017, representing a 74% decline compared to similar period in 2016.

Net interest income also declined by 25% from KShs. 2.086 billion in a similar period in 2016 to KShs. 1.559 billion.

Total operating expenses increased by 4.9%. Non-performing loans increased during the period to KShs. 7.914 billion from KShs. 5.363 billion in 2016 due to stalled property transactions at the lands office and unfavourable macro-economic conditions.

"The drop in our performance is as a result of the prevailing impact of the interest rate capping law and the unfavourable macroeconomic environment that resulted in a significant drop in interest related income and an increase in interest related expenses," said HF Group Managing Director Frank Ileri.

Customer deposits declined by 7% to KShs. 37.439 billion down from KShs. 40.315 recorded in 2016. Loans and advances to customers also decreased by 1.3% from KShs. 53.46 billion in 2016 to KShs. 52.76 billion in 2017.

The Group's liquidity position improved to 26.4% in 2017 up from 21.77 % in a similar period in 2016.

"The liquidity improvement is as a result of the debt facilities of approximately KShs. 1.5 billion we received from Ghana International Bank within the period and an aggressive debt collection strategy we have adopted," said Ileri.

Mr Ileri, is however, optimistic that the Group's performance for the second half of the year will be positive as the property conveyance process at the Ministry of Lands Registries is expected to normalize.

"The delays at the lands office have resulted in liquidation of some of our project loans whose conveyance is in process and with the return to normalcy at the lands office, our asset quality will improve as financed projects are closed," said Ileri.

The Group has embarked on initiatives to improve customer service, which will ensure that customers enjoy enhanced accessibility and experience when transacting.

The Group through its banking subsidiary has introduced a 24-hour call centre and plans are underway to roll out internet banking and mobile app solutions in the second half of the year.

